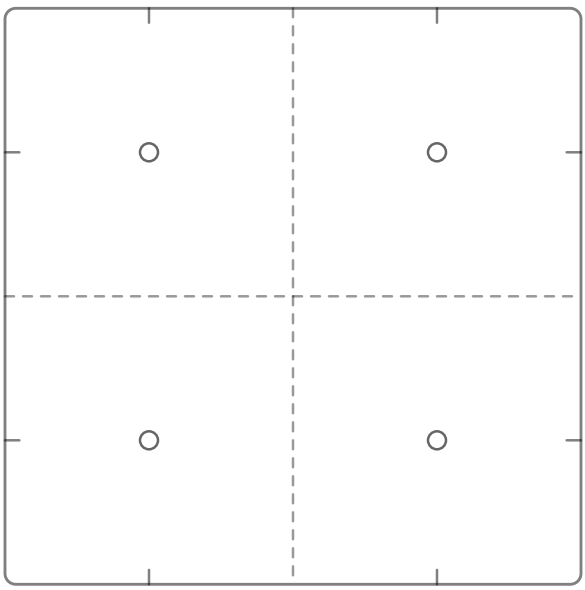
Porter's Five Forces

Is the organization's structural profitability being systematically eroded by an unaddressed concentration of economic power among external market actors?



SCHEMATIC

Centered 5-Vector Cross

S01

Porter's Five Forces

PRESSURE TEST

1. Does the team mistake execution speed for insulation from supplier hold-up?
2. Are switching costs real, or is retention bought with unsustainable discounts?
3. Could a hyperscaler ship this feature set as a commodity in two quarters?

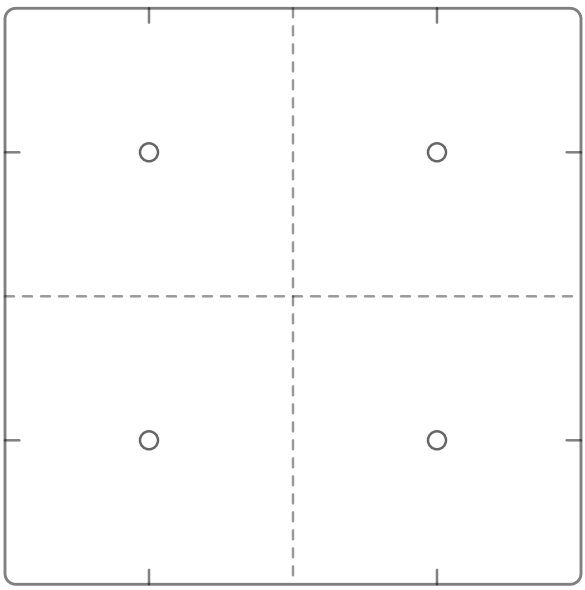
ACTIONS

- Audit gross margins across every vendor and infrastructure dependency.
- Calculate retention and switching costs for the top enterprise quintile.
- Add abstraction layers and portable APIs to end single-provider lock-in.

Source: Michael E. Porter (1980). *Competitive Strategy: Techniques for Analyzing Industries and Competitors.* The Free Press.

Blue Ocean & ERRC

Has competition devolved into a margin-compressing zero-sum contest governed by benchmark copying and feature-parity bidding wars?



SCHEMATIC

2x2 ERRC & Strategy Canvas

S02

Blue Ocean & ERRC

PRESSURE TEST

1. Do Eliminate and Reduce cut real costs, or protect legacy in safety's name?
2. Do non-customers call the new value mission-critical, or merely interesting?
3. Does the curve diverge from incumbents, or parallel it with cosmetic changes?

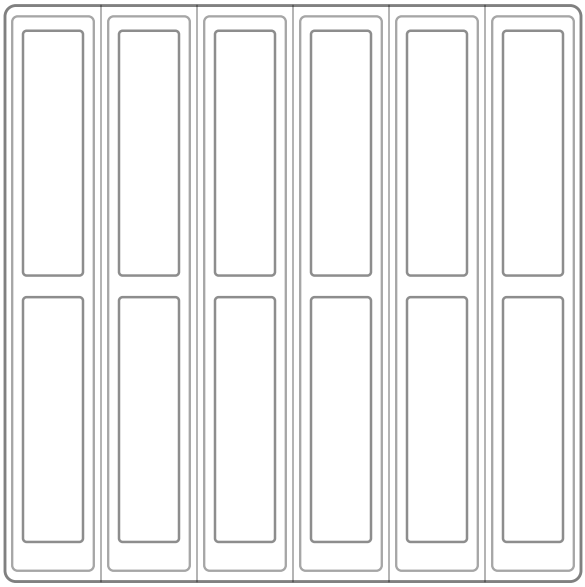
ACTIONS

- Interview 15 non-customers who abandoned or bypassed the category.
- Require eliminations and reductions to equal or exceed raises and creates.
- Ship a minimal variant stripped of bottom-quartile legacy features.

Source: W. Chan Kim & Renée Mauborgne (2005). *Blue Ocean Strategy: How to Create Uncontested Market Space and Make the Competition Irrelevant.* Harvard Business Review Press.

PESTEL Analysis

Are external legislative, macroeconomic, or sociotechnical regime shifts threatening the core operating assumptions of the enterprise?



SCHEMATIC

6-Column Macro Impact Board

S03

PESTEL Analysis

PRESSURE TEST

1. Does leadership treat regulation as overhead, not a market force?
2. Has the company stress-tested unit economics against rising capital costs?
3. Are demographic shifts eroding the product despite stable retention?

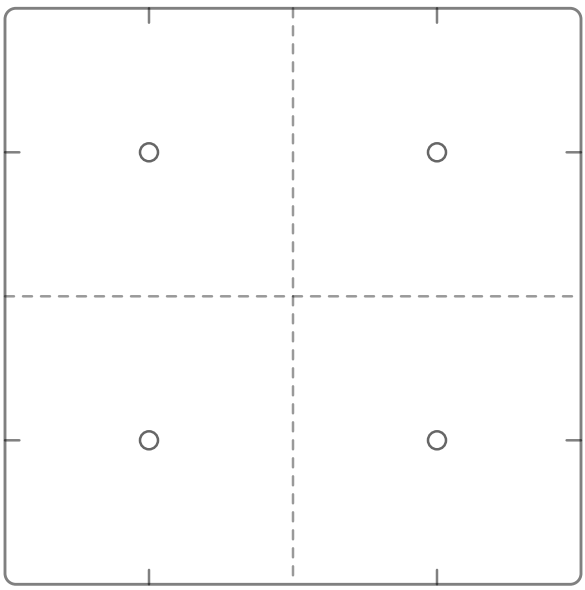
ACTIONS

- Audit workflows against pending data-sovereignty and governance rules.
- Stress-test lifetime value against a 20% procurement budget cut.
- Build redundancy for single-geography supply and infrastructure dependencies.

Source: Francis J. Aguilar (1967). *Scanning the Business Environment.* Macmillan.
Source: Liam Fahey & V. K. Narayanan (1986). *Macroenvironmental Analysis for Strategic Management.* West Publishing.

Ansoff Growth Matrix

Has core market penetration reached saturation, requiring capital redeployment into product extensions, new markets, or non-core diversification?



SCHEMATIC

2x2 Market-Product Matrix

S04

Ansoff Growth Matrix

PRESSURE TEST

1. Does product development cannibalize R&D before the core category is won?
2. Does geographic expansion carry local advantage, or replicate domestic churn?
3. Does diversification reuse a proprietary capability, or enter as an under-resourced entrant?

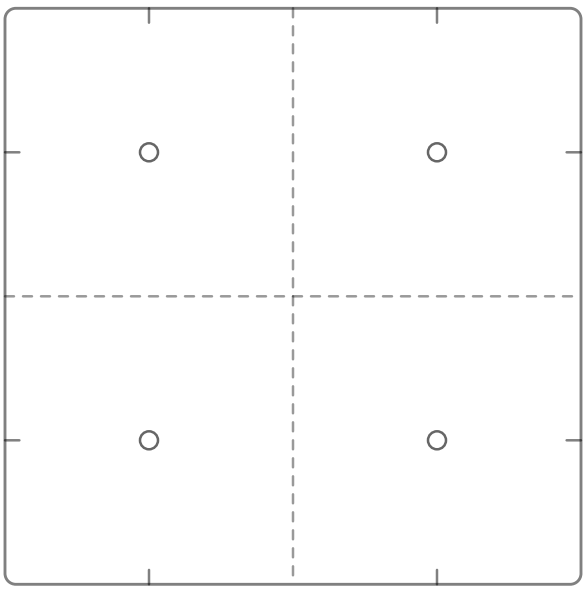
ACTIONS

- Compute penetration ratios across core segments to date stagnation.
- Test willingness-to-pay for adjacent products inside the existing base.
- Establish hard ninety-day off-ramps for diversification investments.

Source: H. Igor Ansoff (1965). *Corporate Strategy.* McGraw-Hill.

Porter's Generic Strategies

Is the enterprise trapped in the middle, lacking either an insurmountable structural cost advantage or defensible premium pricing power?



SCHEMATIC

2x2 Advantage vs Scope Matrix

S05

Porter's Generic Strategies

PRESSURE TEST

1. Can the firm prove a cost advantage rivals cannot copy on public cloud?
2. Does differentiation sustain a 30% premium in tenders without losing conversion?
3. Does the focus niche defend structurally, or isolate the firm in an unprofitable segment?

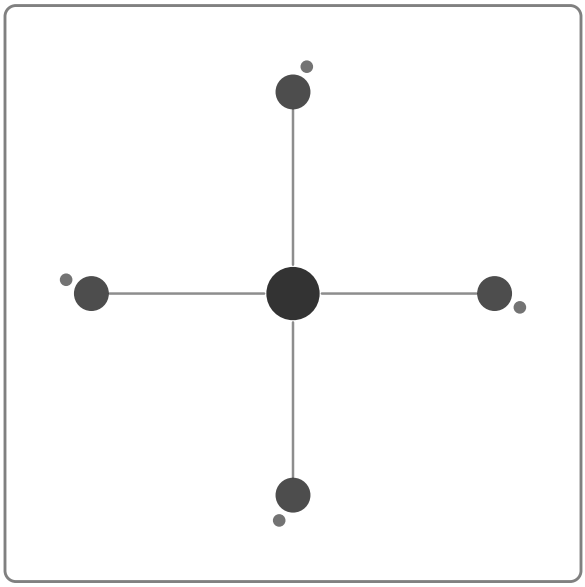
ACTIONS

- Benchmark cost of goods per seat against the lowest-cost peer.
- Conduct double-blind willingness-to-pay tests to measure pricing elasticity.
- Deprecate features that cost efficiency without earning verifiable pricing power.

Source: Michael E. Porter (1980). *Competitive Strategy: Techniques for Analyzing Industries and Competitors.* The Free Press.

Value Net & Coopetition

Can aggregate market value be expanded by collaborating with direct competitors and complementary ecosystem participants?



SCHEMATIC

Diamond Relational Network

S06

Value Net & Coopetition

PRESSURE TEST

1. Which external products exponentially raise the utility of this platform?
2. Does the firm treat rivals only as adversaries, missing joint standards?
3. Is a partner taking the customer relationship while we keep the low-margin work?

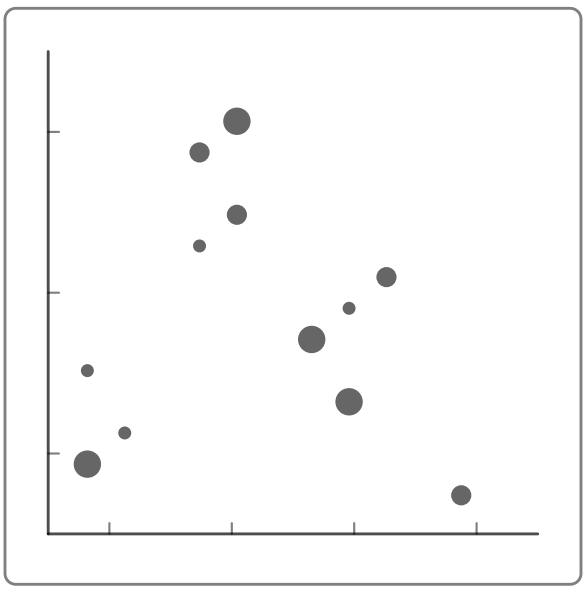
ACTIONS

- Map five complementary technologies and build bidirectional integrations.
- Form an open standard with competitors to disintermediate infrastructure gatekeepers.
- Tie revenue sharing to the growth of critical complementors.

Source: Adam M. Brandenburger & Barry J. Nalebuff (1996). *Co-Opetition: A Revolutionary Mindset That Combines Competition and Cooperation.* Currency/Doubleday.

Strategic Group Mapping

Which distinct clusters of market rivals share identical strategic approaches, and what mobility barriers prevent cross-group encroachment?



SCHEMATIC

2x2 Multi-attribute Scatter

S07

Strategic Group Mapping

PRESSURE TEST

1. Are the mapping axes genuinely uncorrelated, or the same numbers twice?
2. What mobility barrier keeps lower-tier entrants out of this group?
3. Is blank territory an opportunity, or a graveyard of proven unviability?

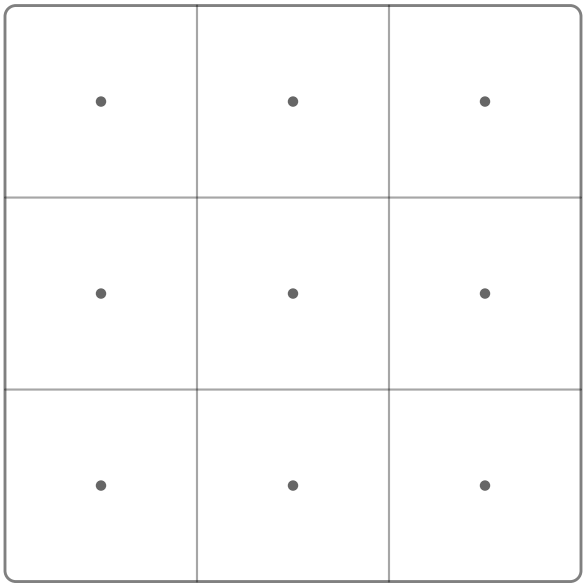
ACTIONS

- Plot twelve rivals on two orthogonal axes validated by buyers.
- Quantify capital and IP barriers to entering this strategic group.
- Interview accounts that defected to another group about shifting criteria.

Source: Michael S. Hunt (1972). *Competition in the Major Home Appliance Industry 1960–1970.* Doctoral dissertation, Harvard University.

GE-McKinsey Nine-Box

How should capital and engineering bandwidth be distributed across a diversified portfolio of business units with divergent prospects?



SCHEMATIC

3x3 Attractiveness-Strength Matrix

S08

GE-McKinsey Nine-Box

PRESSURE TEST

1. Are attractiveness scores driven by multi-year growth, or a windfall year?
2. Is premium talent still defending units that should be managed for cash?
3. Does high strength reflect proprietary assets, or a temporary head start?

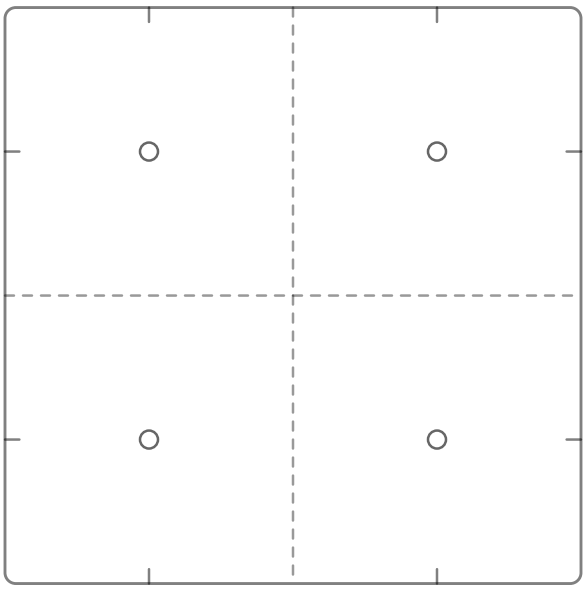
ACTIONS

- Score every product unit on weighted attractiveness and strength indices.
- Move 20% of development capacity from weak lines to growth segments.
- Build end-of-life or divestment plans for harvest-quadrant products.

Source: McKinsey & Company & General Electric (1971).

BCG Growth-Share Matrix

Are market-leading cash flows being systematically recycled into emerging growth bets before core product lines mature?



SCHEMATIC

2x2 Cash-Growth Matrix

S09

BCG Growth-Share Matrix

PRESSURE TEST

1. Are cash cows treated as growth vehicles, over-investing where gains are capped?
2. Do Question Marks pass strict gates, or burn capital without gaining share?
3. Will leadership sunset or spin out Dogs instead of sustaining them?

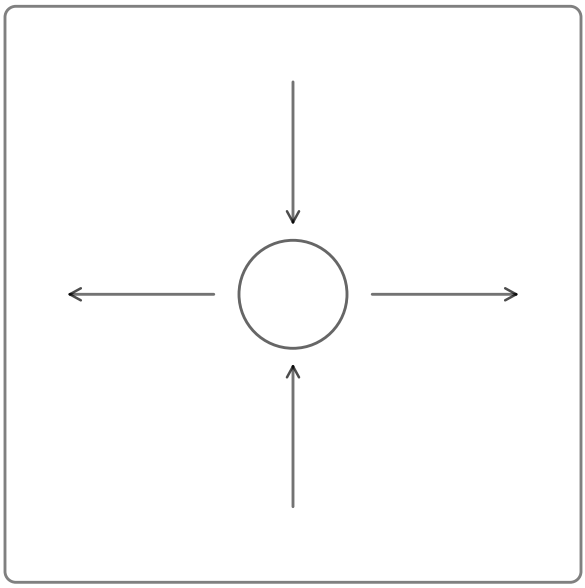
ACTIONS

- Compute relative share against category leaders for every product line.
- Sweep cash from mature lines into funded Star initiatives.
- Set ninety-day share milestones for Question Marks: scale or terminate.

Source: Bruce D. Henderson (1970). *The Growth Share Matrix.* Boston Consulting Group Perspectives.

Demand-Side / JTBD

Does the organization fundamentally misunderstand why customers hire its product, resulting in bloated roadmaps that fail to solve user struggles?



SCHEMATIC

4-Force Dynamic Progress Model

S10

Demand-Side / JTBD

PRESSURE TEST

1. Can the team name the functional, social and emotional struggle that triggers switching?
2. Are features prioritized by demographics rather than by the job's context?
3. Does the product address the moment the incumbent is abandoned, or add features?

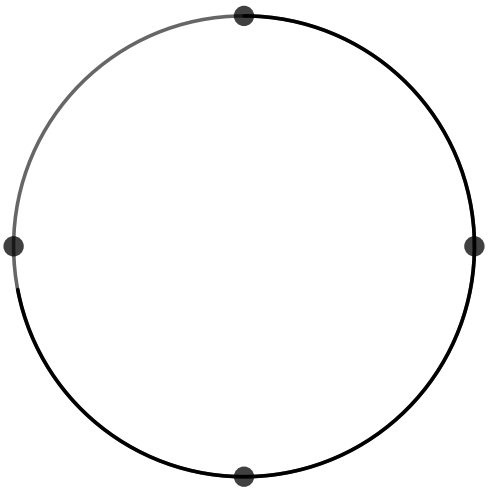
ACTIONS

- Run ten switch interviews to isolate what actually started the purchase.
- Rewrite epics as job statements: context, struggling moment, outcome.
- Instrument whether updates cut the time to finish the core job.

Source: Clayton M. Christensen, Bob Moesta & Michael B. Horn (2016). *Competing Against Luck: The Story of Innovation and Customer Choice.* HarperBusiness.

Hypercompetition

Has competitive disruption accelerated to a velocity where static competitive moats are unsustainable, requiring continuous self-disruption?



SCHEMATIC

4-Arena Dynamic Iteration Loop

S11

Hypercompetition

PRESSURE TEST

1. Is the firm leaning on IP or brand where technical parity arrives fast?
2. Does management delay self-disruption to protect high-margin revenue?
3. Is operating tempo fast enough for sequential advantages without burnout?

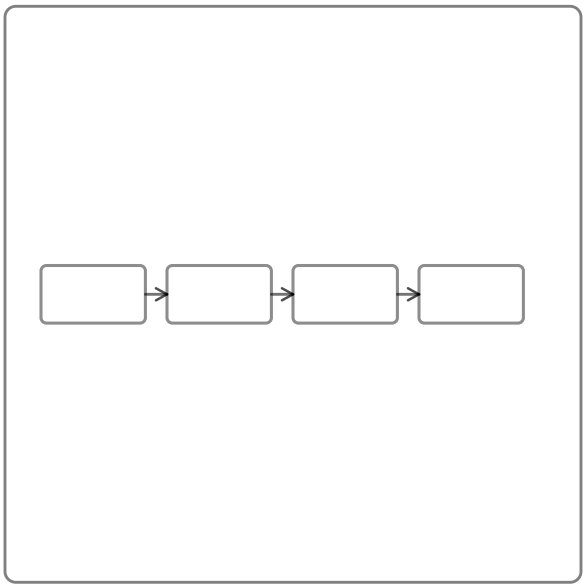
ACTIONS

- Measure mean time for rivals to ship parity versions of core features.
- Run a skunkworks tasked with building a direct competitor to the flagship.
- Reward delivery velocity of new revenue, not defence of legacy share.

Source: Richard A. D'Aveni (1994). *Hypercompetition: Managing the Dynamics of Strategic Maneuvering.* The Free Press.

Wardley Mapping

Is the engineering organization building custom solutions for architectural components that have already evolved into industrialized commodity utilities?



SCHEMATIC

2-Axis Topographical Value Chain

S12

Wardley Mapping

PRESSURE TEST

1. Do internal teams rebuild infrastructure that commodity APIs already provide?
2. Will leadership anticipate the inertia resisting a move to external utilities?
3. Does the firm see which commodities could fund its genesis-stage capabilities?

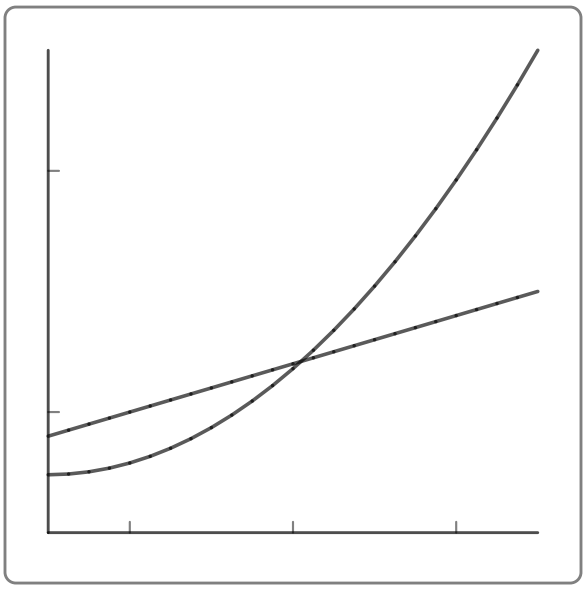
ACTIONS

- Map the architecture into a Wardley DSL or Mermaid dependency script.
- Replace Custom-Built components with managed services or open source.
- Evaluate the 32 climatic patterns against 24-month commoditization.

Source: Simon Wardley (2016). *Wardley Maps.* CC BY-SA 4.0.

Disruptive Innovation

Are market incumbents over-serving mainstream enterprise accounts with high-margin products, leaving low-end and non-consumer segments open to low-cost alternatives?



SCHEMATIC

Performance vs Time Trajectory

S13

Disruptive Innovation

PRESSURE TEST

1. Does leadership dismiss low-end rivals for their deficits and poor margins?
2. Does the roadmap add enterprise features mainstream users never require?
3. Could the cost structure survive prices falling to the low-cost alternative?

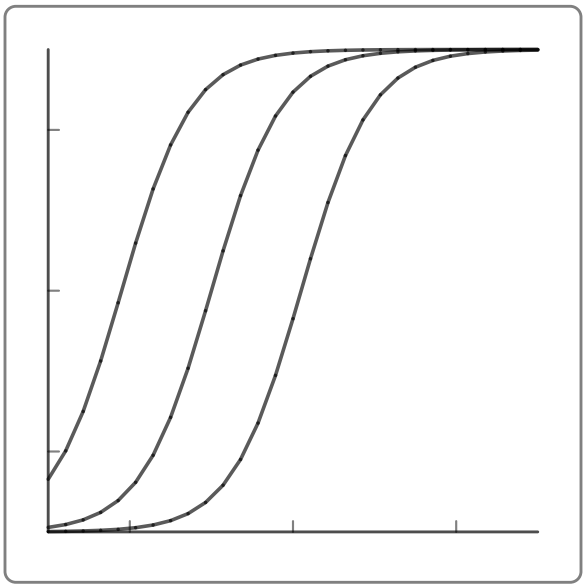
ACTIONS

- Analyze feature utilization to find over-engineering in the core product.
- Give a separate unit its own cost structure to chase non-consumers.
- Ship a simpler variant: easier to deploy, cheaper, not feature-parity.

Source: Clayton M. Christensen (1997). *The Innovator's Dilemma: When New Technologies Cause Great Firms to Fail.* Harvard Business School Press.

Three Horizons of Growth

Is the company compromising its long-term survival by allocating all capital to immediate quarterly operations while neglecting future growth options?



SCHEMATIC

3 Overlapping S-Curves

S14

Three Horizons of Growth

PRESSURE TEST

1. Does H1 governance impose short-term profit rules on early-stage bets?
2. Are H3 experiments disconnected research without a commercial path?
3. Do operators raid H2 and H3 to cover a short-term core revenue gap?

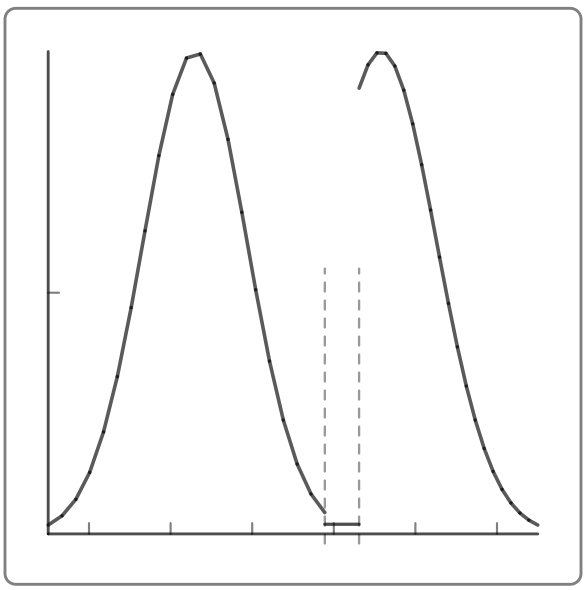
ACTIONS

- Audit budget and engineering allocation across H1 70, H2 20, H3 10.
- Run distinct cadences: delivery for H1, cohorts for H2, hypotheses for H3.
- Ring-fence exploratory capital against mid-year budget reabsorption.

Source: Mehrdad Baghai, Stephen Coley & David White (1999). *The Alchemy of Growth: Kickstarting and Sustaining Growth in Your Company.* McKinsey & Company / Perseus Publishing.

Crossing the Chasm

Has adoption stalled after early success with visionary technology enthusiasts because the product fails to satisfy pragmatic enterprise buyers?



SCHEMATIC

Segmented Bell Curve with Chasm

S15

Crossing the Chasm

PRESSURE TEST

1. Do case studies from visionaries convince pragmatic buyers who trust peers?
2. Is the whole product built: integrations, certifications, training, support?
3. Are sales resources spread thin instead of owning one beachhead vertical?

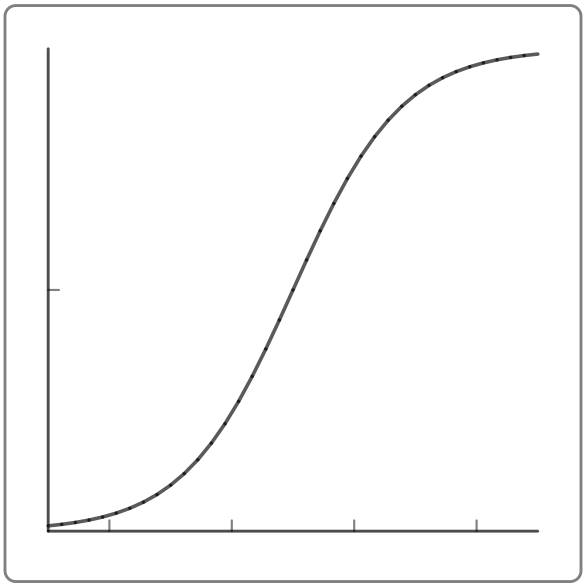
ACTIONS

- Focus resources on one beachhead where the product solves a critical problem.
- Complete the whole product with third-party integrations and security tooling.
- Reframe marketing from innovation to reliability, compliance and risk.

Source: Geoffrey A. Moore (1991). *Crossing the Chasm: Marketing and Selling High-Tech Products to Mainstream Customers.* HarperBusiness.

S-Curve Life Cycle

Have internal R&D investments reached a point of diminishing returns along the current technological architecture?



SCHEMATIC

Sigmoidal Spend vs Benchmarks

S16

S-Curve Life Cycle

PRESSURE TEST

1. Does extra engineering spend now buy negligible performance gain?
2. Is leadership blaming teams rather than the architecture for the plateau?
3. Is a lower-performing paradigm with a far higher ceiling being ignored?

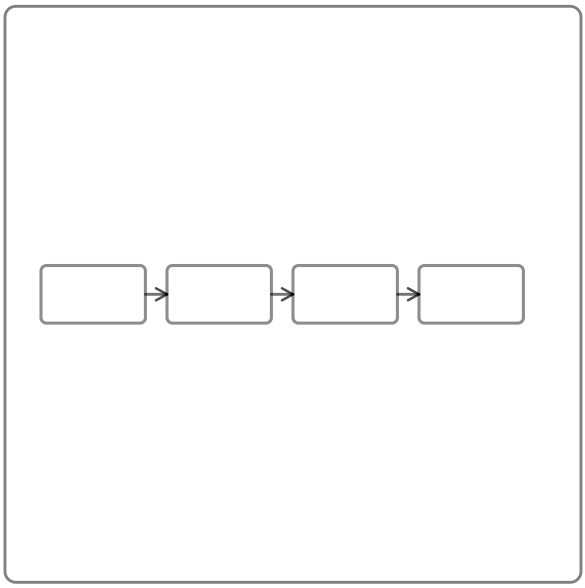
ACTIONS

- Compute performance gained per engineering dollar over eight quarters.
- Survey research that bypasses the current stack's physical limits.
- Fund a small squad to prototype on the emerging paradigm.

Source: Richard N. Foster (1986). *Innovation: The Attacker's Advantage.* Summit Books / McKinsey & Company.

Attractive Profits Law

When an integrated product subsystem becomes modularized and commoditized, where do attractive economic profits migrate within the value chain?



SCHEMATIC

Vertical Value Chain Architecture

S17

Attractive Profits Law

PRESSURE TEST

1. Is the firm defending margin in a layer open source is commoditizing?
2. Does the firm own the interdependent bottleneck downstream users must pass?
3. Are teams wrapping modular parts without owning the integration points?

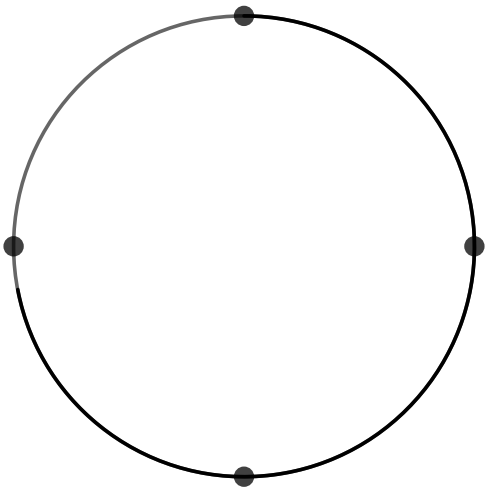
ACTIONS

- Diagram the stack, marking every layer modular or interdependent.
- Stop proprietary work on modular layers; adopt standard components.
- Concentrate capital on the adjacent interdependent bottleneck.

Source: Clayton M. Christensen (2003). *The Innovator's Solution: Creating and Sustaining Successful Growth.* Harvard Business School Press.

Increasing Returns

Can small, early market-share advantages be amplified through self-reinforcing mechanisms to establish standard lock-in before competing alternatives mature?



SCHEMATIC

Non-linear Compounding Feedback

S18

Increasing Returns

PRESSURE TEST

1. Is diminishing-returns logic being applied to an increasing-returns market?
2. Which early architectural choice could lock the system into a dead end?
3. Does scale buy distribution partnerships that widen the gap with rivals?

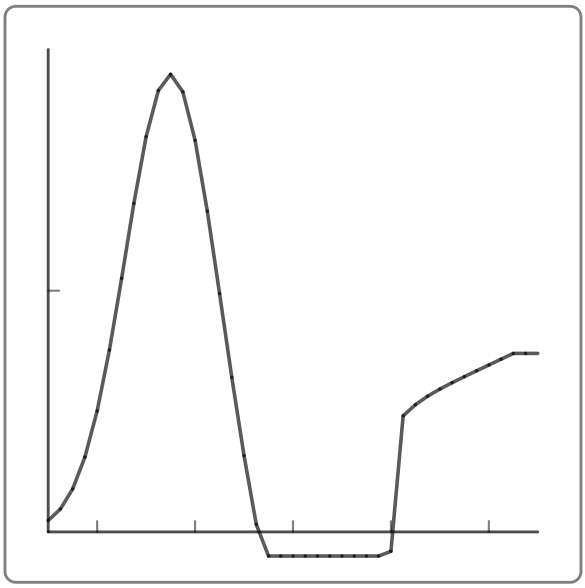
ACTIONS

- Subsidize acquisition to cross critical mass before rivals do.
- Ship developer integrations so leaving the platform carries real switching cost.
- Watch churn among long-standing accounts for signs of platform decay.

Source: W. Brian Arthur (1994). *Increasing Returns and Path Dependence in the Economy.* University of Michigan Press.

Gartner Hype Cycle

Is the leadership team deploying capital at the peak of inflated expectations, or divesting during the trough of disillusionment right before practical enterprise utility scales?



SCHEMATIC

5-Phase Expectation Wave

S19

Gartner Hype Cycle

PRESSURE TEST

1. Is the roadmap built on validated workflows, or on vendor-driven enthusiasm?
2. Can reserves carry the company through the consolidation phase?
3. Do concrete milestones mark the move from hype to practical enterprise utility?

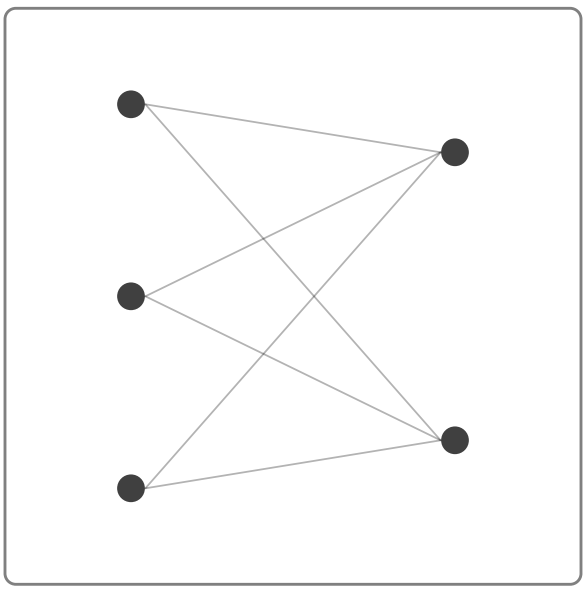
ACTIONS

- Weigh investments against Amara's Law: short-term hype, long-term shift.
- Move metrics from vanity indicators to cost per transaction and ROI.
- Buy distressed IP or hire specialized talent during the trough.

Source: Jackie Fenn (1995). Gartner Group.

Conway's Law / IMC

Are rigid internal communication structures forcing the production of fragmented, monolithic software architectures that slow delivery velocity?



SCHEMATIC

Bipartite Org-to-Code Alignment

S20

Conway’s Law / IMC

PRESSURE TEST

1. Does the architecture mirror old org hierarchy rather than user value flow?
2. Are squads blocked by shared databases and a monolithic codebase?
3. Will leadership restructure teams to force services to decouple?

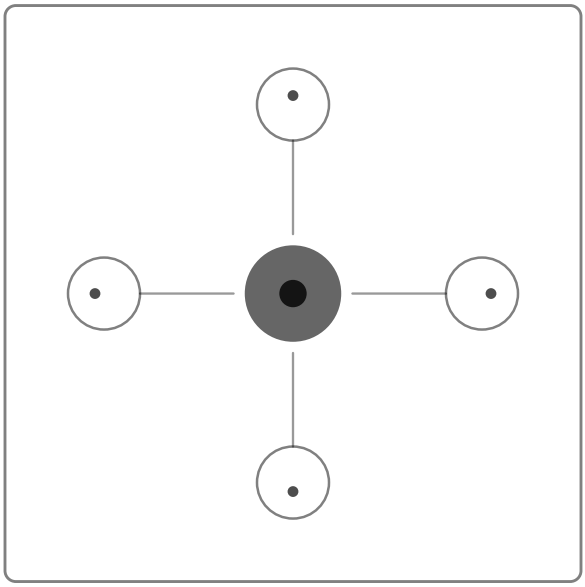
ACTIONS

- Map squads directly to bounded product domains and capabilities.
- Put contract-driven APIs between teams to end synchronous coordination.
- Audit pull requests for squads editing other teams' code.

Source: Melvin E. Conway (1968). *How Do Committees Invent?* Datamation.

Cynefin Framework

Is executive leadership misapplying linear, predictive planning models to complex or chaotic operational problems?



SCHEMATIC

5-Domain Sensemaking Topology

S21

Cynefin Framework

PRESSURE TEST

1. Is exhaustive analysis being used to force certainty in a Complex domain?
2. Are standard procedures being applied where probing is required?
3. In a crisis, does leadership deliberate instead of acting to stabilize?

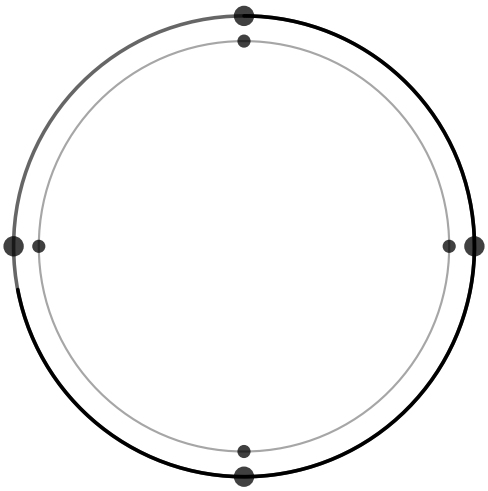
ACTIONS

- Sort every initiative into Clear, Complicated, Complex or Chaotic.
- Design safe-to-fail experiments with predefined stopping criteria.
- Automate the Clear domain with standard procedures and deterministic runs.

Source: Dave Snowden & Mary E. Boone (2007). *A Leader's Framework for Decision Making*. Harvard Business Review.

Systems Archetypes

Is rapid early growth encountering an unseen internal constraint, or are quick fixes eroding the underlying operational capabilities of the business?



SCHEMATIC

Closed Causal Loop Diagrams (CLD)

S22

Systems Archetypes

PRESSURE TEST

1. Does slowing acquisition trigger more paid spend instead of fixing the product?
2. Do stopgap workarounds quietly weaken core technical capability?
3. Which balancing loops will bind when transaction volume triples?

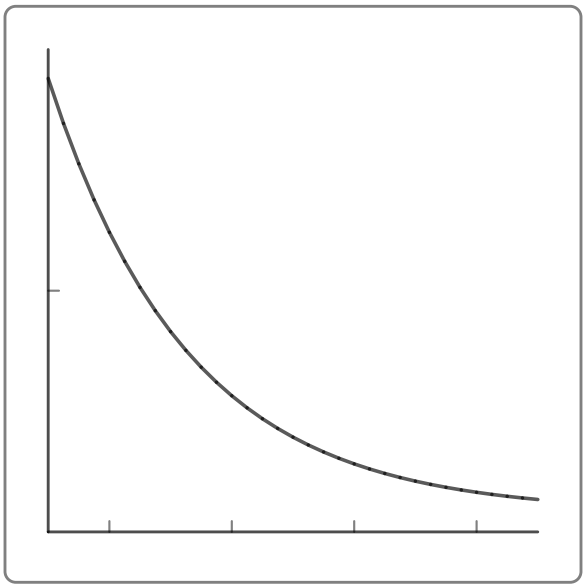
ACTIONS

- Diagram the loops that tie growth drivers to capacity constraints.
- Move capital from acquisition incentives into the core bottleneck.
- Alert on early stress: support escalations, query latency, error rates.

Source: Jay W. Forrester (1961). *Industrial Dynamics.* MIT Press.

Scale Economies

Does the organization's scale create a decreasing per-unit cost curve that smaller competitors cannot match without incurring unsustainable losses?



SCHEMATIC

Cost-Volume Amortization Curve

S23

Scale Economies

PRESSURE TEST

1. Are unit-cost falls from volume amortization, or temporary vendor discounts?
2. Do internal diseconomies, like communication overhead, cancel the cost lead?
3. Can a new entrant bypass the scale advantage with managed cloud services?

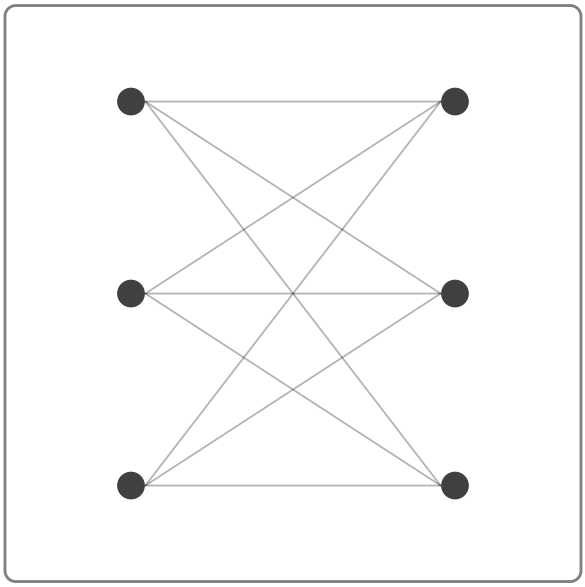
ACTIONS

- Separate fixed from variable cost to get marginal cost per account.
- Pass some scale savings to customers as lower prices to raise entry barriers.
- Automate routine operations so headcount does not scale with volume.

Source: W. Hamilton Helmer (2016). *7 Powers: The Foundations of Business Strategy.* Deep Search Press.

Network Effects

Does each additional user of the platform systematically increase the product's value for all other active participants?



SCHEMATIC

2-Sided Relational Network Grid

S24

Network Effects

PRESSURE TEST

1. Are users drawn by other participants, or by subsidized marketing?
2. Can users multi-home across platforms with little friction or cost?
3. Do negative network effects, spam or poor content, grow with volume?

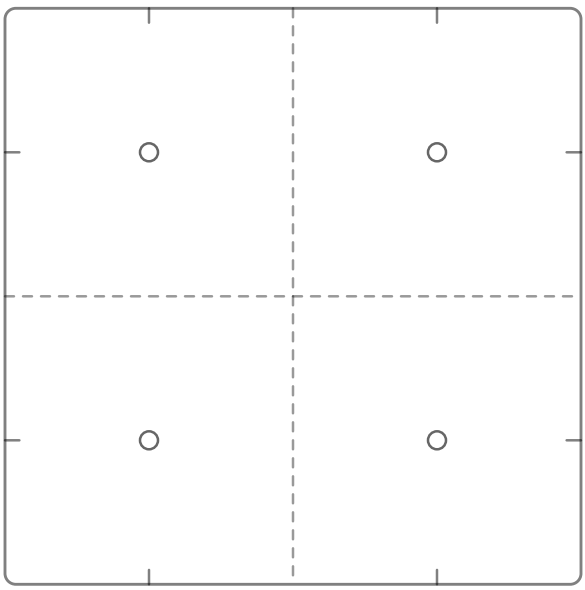
ACTIONS

- Track multi-homing on both sides to measure retention strength.
- Build collaboration that only pays off when peers join in.
- Automate moderation and trust systems to keep quality at scale.

Source: W. Hamilton Helmer (2016). *7 Powers: The Foundations of Business Strategy.* Deep Search Press.

Counter-Positioning

Does the challenger's business model cause such severe collateral damage to an incumbent's existing revenue and asset base that the incumbent is economically paralyzed?



SCHEMATIC

Game-Theoretic Payoff Matrix

S25

Counter-Positioning

PRESSURE TEST

1. Does the challenger read delayed incumbent response as ignorance, not calculus?
2. Would the advantage survive the incumbent absorbing losses to copy the model?
3. Is the model profitable alone, or does it need continuous venture subsidy?

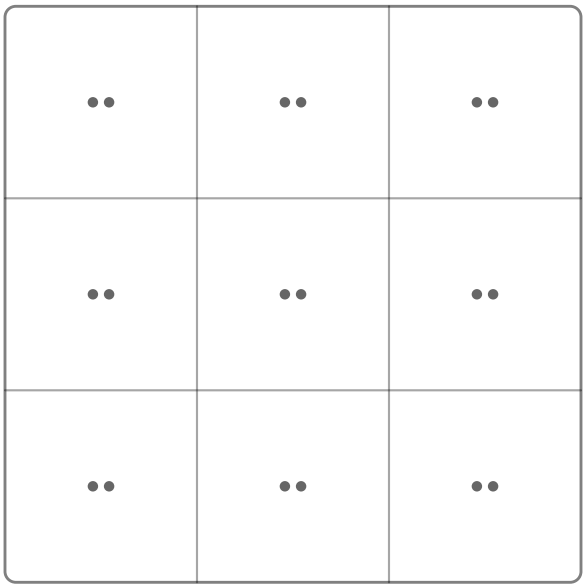
ACTIONS

- Name the revenue and margin the incumbent would cannibalize by copying.
- Price against the incumbent's highest-margin vulnerability, at positive unit economics.
- Stay out of domains where the incumbent is structurally constrained.

Source: W. Hamilton Helmer (2016). *7 Powers: The Foundations of Business Strategy.* Deep Search Press.

Switching Costs

Does abandoning the product impose such significant operational, financial, or data-loss risks that customer migration to a rival is practically unfeasible?



SCHEMATIC

Balance Sheet Friction Matrix

S26

Switching Costs

PRESSURE TEST

1. Are switching costs deep integration, or just restrictive contract terms?
2. At a 30% renewal increase, what share of enterprise accounts would start migrating?
3. Have export capabilities made it easier for customers to leave?

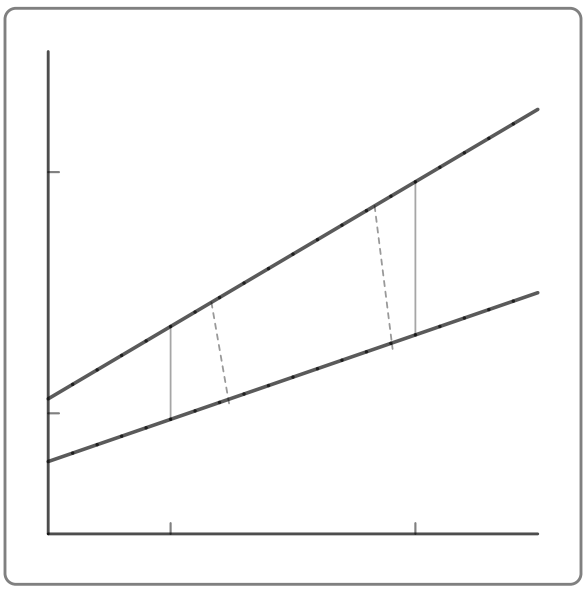
ACTIONS

- Become the system of record for critical operational data.
- Extend integrations into adjacent workflows so migration gets harder.
- Ship historical analytics and triggers whose value compounds with tenure.

Source: W. Hamilton Helmer (2016). *7 Powers: The Foundations of Business Strategy.* Deep Search Press.

Branding Power

Does the organization command a durable pricing premium or conversion advantage driven by affective trust, identity signaling, or counterparty risk reduction?



SCHEMATIC

Value-Price Surplus Wedge

S27

Branding Power

PRESSURE TEST

1. Does the brand lower perceived risk in big decisions, or just enjoy awareness?
2. Could marketing spend drop without an immediate pipeline decline?
3. Does delivery keep the brand promise, or is a gap opening with marketing?

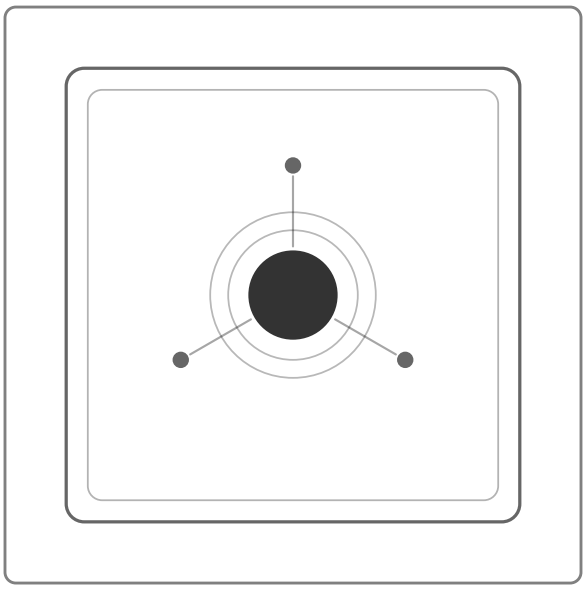
ACTIONS

- Run double-blind pricing tests to isolate the premium brand adds.
- Set communication standards and incident response across every touchpoint.
- Publish technical papers and compliance certifications to prove trust.

Source: W. Hamilton Helmer (2016). *7 Powers: The Foundations of Business Strategy.* Deep Search Press.

Cornered Resource

Does the organization maintain exclusive access to a scarce, non-replicable asset—such as patents, regulatory licenses, unique talent, or proprietary data—that generates enduring economic rents?



SCHEMATIC

Asset Enclosure Diagram

S28

Cornered Resource

PRESSURE TEST

1. Is the resource under institutional control, or could key people leave with it?
2. Would the patents, licences or data rights hold under sustained challenge?
3. Could a technology shift make the asset obsolete before it pays back?

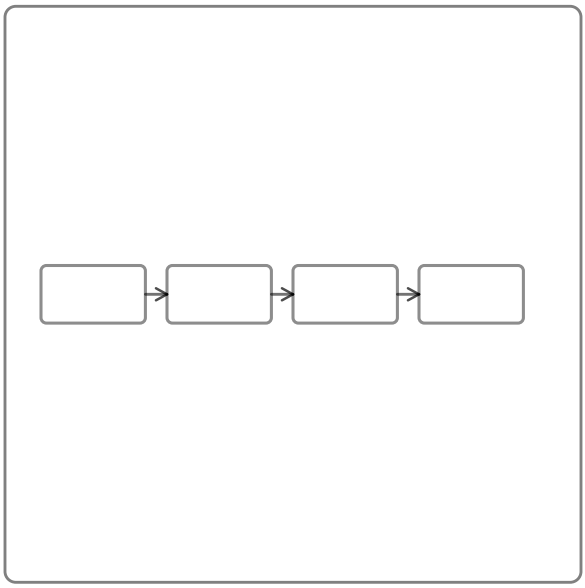
ACTIONS

- Lock IP assignment, exclusive data rights and patents around core innovations.
- Build proprietary pipelines that structure non-public domain data.
- Use long-term equity to retain the people who hold critical expertise.

Source: W. Hamilton Helmer (2016). *7 Powers: The Foundations of Business Strategy.* Deep Search Press.

Process Power

Has the company embedded complex operational routines that produce superior cost and quality outcomes that competitors cannot duplicate through external observation?



SCHEMATIC

Tacit Operational Flow Network

S29

Process Power

PRESSURE TEST

1. Could a funded rival match performance by hiring a few key leaders?
2. Are process advantages cultural, or procedures a public teardown can copy?
3. Has optimization made the organization too rigid to absorb a tech shift?

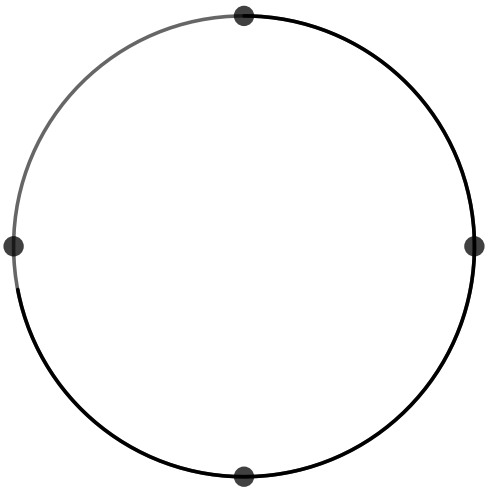
ACTIONS

- Turn static manuals into active, continuously run operational routines.
- Track error rates, cycle times and latency against industry benchmarks.
- Run post-mortems and Kaizen loops that feed learnings back into tools.

Source: W. Hamilton Helmer (2016). *7 Powers: The Foundations of Business Strategy.* Deep Search Press.

Flywheel Effect

Are business initiatives organized as disconnected tactical projects, or do they feed into a self-reinforcing, compounding momentum engine?



SCHEMATIC

Compounding Clockwise Loop

S30

Flywheel Effect

PRESSURE TEST

1. Can leadership say how every funded project speeds the flywheel?
2. Is there a break where customer value stops funding reinvestment?
3. Does the model ignore drag like churn or platform taxes bleeding energy?

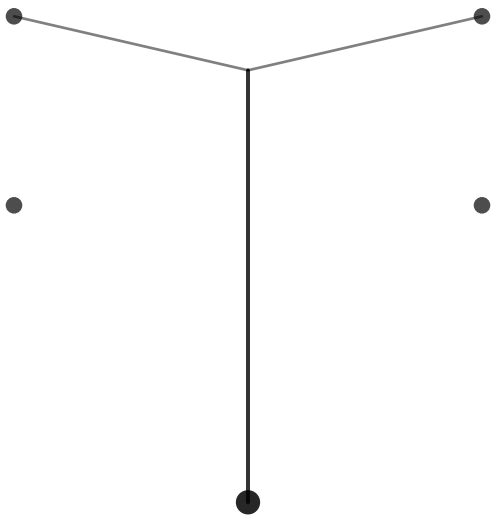
ACTIONS

- Draw a five-step flywheel with explicit causal connections.
- Move capital away from projects that do not feed the flywheel.
- Instrument the handover points between adjacent flywheel steps.

Source: Jim Collins (2001). *Good to Great: Why Some Companies Make the Leap... and Others Don't.* HarperBusiness.

Open-Source Archetypes

How can an organization distribute software with zero marginal cost via open source while establishing a sustainable, defensible value-capture model?



SCHEMATIC

Two-Tier Commercial Separation

S31

Open-Source Archetypes

PRESSURE TEST

1. Does the free edition include features that cannibalize commercial revenue?
2. Could a major cloud host the project cheaper than the creator can?
3. Does the community contribute distribution and development, or only drain it?

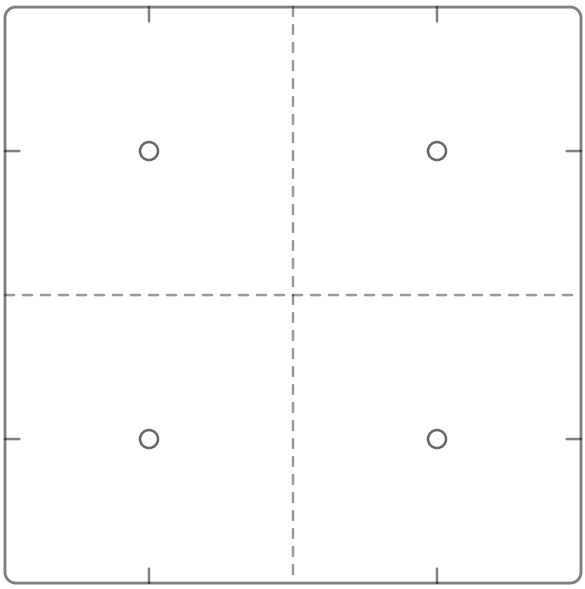
ACTIONS

- Keep developer libraries permissive; put security and compliance in paid tiers.
- Offer a managed cloud that monetizes speed and infrastructure management.
- Track downloads, forks and contributions alongside enterprise pipeline.

Source: Dirk Riehle (2009). *The Commercial Open Source Business Model.* Value Creation in E-Business.
Source: Peter Levine (2014). *Open Source: From Community to Commercialization.* Andreessen Horowitz.

Teece's PFI Model

In an environment with weak intellectual property protection, will the innovating company capture the economic value of its breakthrough, or will profits flow to owners of critical complementary assets?



SCHEMATIC

2x2 Appropriability Matrix

S32

Teece's PFI Model

PRESSURE TEST

1. Does the firm lean on patents where rivals can design around them?
2. Does an incumbent own the channels, relationships or approvals needed to scale?
3. Were complementary assets secured before the breakthrough was shown?

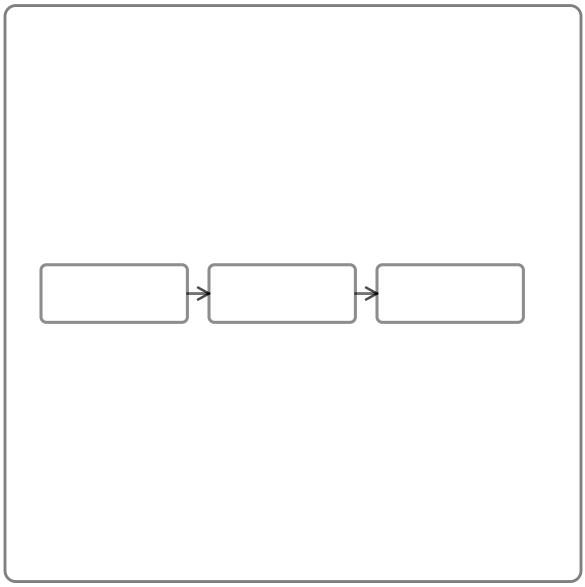
ACTIONS

- Judge whether law and technology give tight or weak IP protection here.
- Name the specialized assets, sales network or cloud, that scaling needs.
- Secure or acquire those assets before launching the offering.

Source: David J. Teece (1986). *Profiting from Technological Innovation: Implications for Integration, Collaboration, Licensing and Public Policy.* Research Policy.

Aggregation Theory

Can the company leverage zero marginal costs and direct user relationships to commoditize suppliers and aggregate market demand?



SCHEMATIC

3-Tier Supplier-Platform-User

S33

Aggregation Theory

PRESSURE TEST

1. Does the platform own the customer relationship and billing directly?
2. Is delivery, onboarding and transaction cost effectively zero at the margin?
3. Are suppliers commoditized into accepting platform standards?

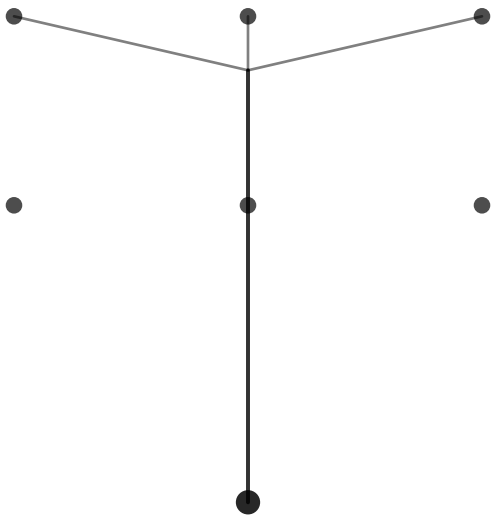
ACTIONS

- Cut onboarding cost toward zero through digital provisioning.
- Standardize supplier integrations into uniform API schemas.
- Use concentrated demand to negotiate terms and exclusive catalog access.

Source: Ben Thompson (2015). *Aggregation Theory.* Stratechery.

Strategy Kernel

Is executive leadership confusing performance targets and wishful thinking with a focused strategy that tackles the company's core challenges?



SCHEMATIC

Tripartite Foundation Block

S34

Strategy Kernel

PRESSURE TEST

1. Does the plan restate financial targets instead of naming the real challenge?
2. Does the policy make hard trade-offs about what the firm will decline to do?
3. Do initiatives reinforce each other, so one raises the leverage of the next?

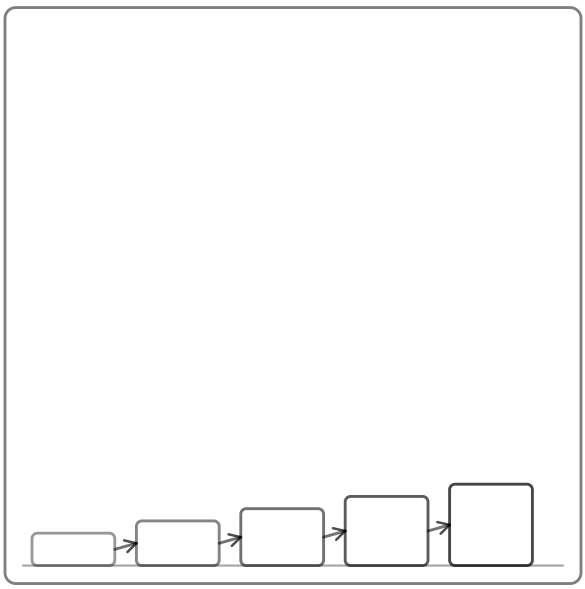
ACTIONS

- Write a one-page diagnosis naming the single critical structural constraint.
- Draft a guiding policy that concentrates resources on one asymmetric objective.
- Cut every backlog project that does not support the coherent action plan.

Source: Richard P. Rumelt (2011). *Good Strategy/Bad Strategy: The Difference and Why It Matters.* Crown Business.

Playing to Win

Are the company's choices of where to compete matched by a differentiated capability system capable of winning in those selected arenas?



SCHEMATIC

5-Stage Strategy Cascade

S35

Playing to Win

PRESSURE TEST

1. Is Where to Play too broad, instead of naming segments, profiles and channels?
2. Is How to Win a real advantage, or a list of industry-standard best practices?
3. Do capabilities and review rhythms actually support the chosen play and win?

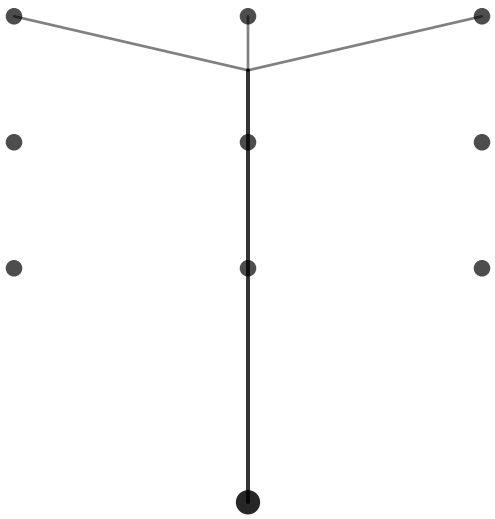
ACTIONS

- Run a reverse-engineering session: what must be true for this strategy to work?
- Document the segments, products and regions the firm will deliberately not serve.
- Tie performance reviews, OKRs and capital to the required core capabilities.

Source: A.G. Lafley & Roger L. Martin (2013). *Playing to Win: How Strategy Really Works.* Harvard Business Review Press.

Opportunity Solution Trees

Is the engineering team shipping unvalidated solutions without mapping the underlying customer opportunity space?



SCHEMATIC

Hierarchical Discovery Tree

S36

Opportunity Solution Trees

PRESSURE TEST

1. Did the squad jump from a business goal to a feature without mapping opportunities?
2. Are competing solutions evaluated per opportunity, or is the team committed to one?
3. Are desirability, usability, feasibility and viability tested before production code?

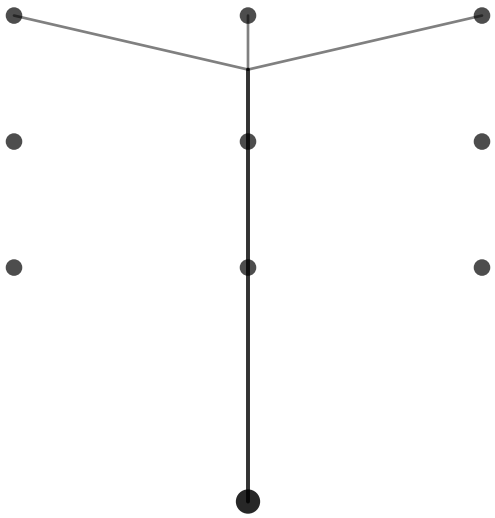
ACTIONS

- Interview at least two target customers every week to find recurring opportunities.
- Tie every user story to an opportunity node and a business outcome.
- Test the riskiest assumptions before scheduling a development sprint.

Source: Teresa Torres (2016). *An Introduction to Opportunity Solution Trees.* Product Talk.

North Star Metric Trees

Are individual squads optimizing disconnected vanity metrics that fail to drive long-term business value?



SCHEMATIC

Hierarchical Math Metric Tree

S37

North Star Metric Trees

PRESSURE TEST

1. Does the North Star measure real value, or a vanity metric easy to game?
2. Can each squad trace its own metric to a move in the North Star?
3. Do leading usage indicators sit alongside lagging financial retention?

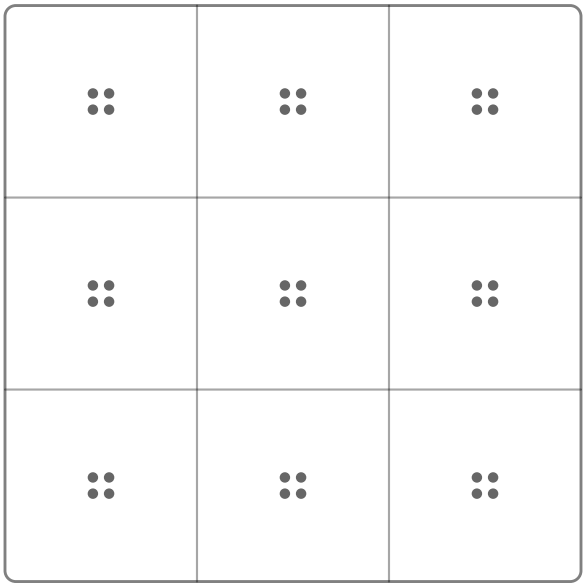
ACTIONS

- Agree one North Star metric that captures real customer value exchange.
- Split the North Star into breadth, depth, frequency and efficiency inputs.
- Give each input metric a named squad owner.

Source: Sean Ellis (2017). *Hacking Growth.* Crown Business.

Business Model Canvas

Does the organization maintain a coherent, balanced blueprint of how it creates, delivers, and captures economic value?



SCHEMATIC

9-Block Structural Blueprint

S38

Business Model Canvas

PRESSURE TEST

1. Are value propositions matched to segments, or generic capabilities for no market?
2. Does cost structure support the key activities, or do unit economics degrade with scale?
3. Does the canvas say how value is captured, or rely on future monetization?

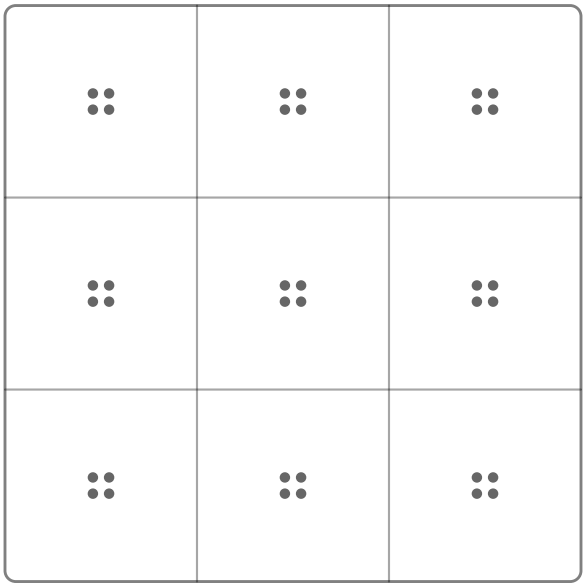
ACTIONS

- Declare the model in a versioned YAML or JSON schema to track revisions.
- Validate that every segment connects to a value proposition, channel and revenue.
- Name the three riskiest assumptions and schedule validation sprints.

Source: Alexander Osterwalder & Yves Pigneur (2010). *Business Model Generation.* John Wiley & Sons.

Lean Canvas

In an early-stage venture facing high uncertainty, what are the primary unvalidated assumptions that threaten company viability?



SCHEMATIC

9-Block Risk-Hypothesis Grid

S39

Lean Canvas

PRESSURE TEST

1. Is the Unfair Advantage a real barrier, or just internal execution effort?
2. Do the top three problems rest on observed workarounds, or on hypotheses?
3. Has the team named early adopters who will use an incomplete first release?

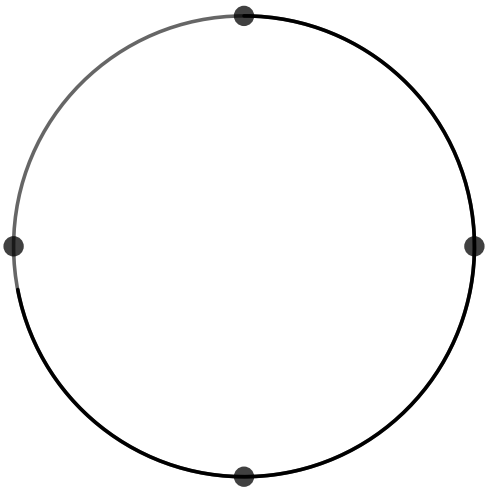
ACTIONS

- Complete the canvas in twenty minutes, noting existing alternatives per problem.
- Interview targets to confirm the main problem is urgent for them.
- Validate the schema to flag missing or generic Unfair Advantage entries.

Source: Ash Maurya (2012). *Running Lean: Iterate from Plan A to a Plan That Works.* O'Reilly Media.

PLG & Hook Loop

Are high sales and marketing acquisition costs choking distribution, requiring the product experience itself to drive customer acquisition, conversion, and retention?



SCHEMATIC

4-Stage Behavioral Retention Loop

S40

PLG & Hook Loop

PRESSURE TEST

1. Does the product need a sales conversation before delivering its core value?
2. Can users reach the aha moment fast, or does onboarding outlast their patience?
3. Does the user accumulate data, settings or colleagues that raise switching cost?

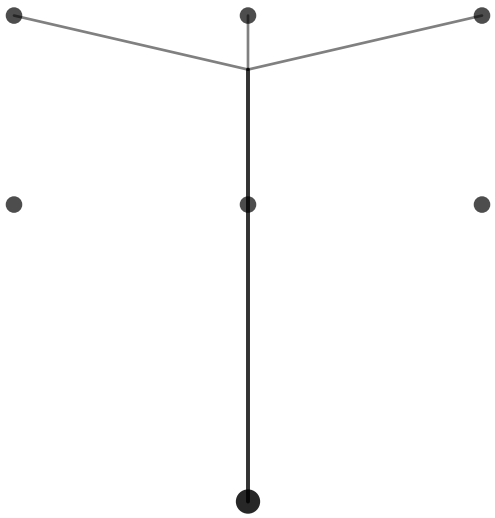
ACTIONS

- Halve onboarding steps and measure time-to-value from signup to aha.
- Build invitation loops that pull colleagues into the user's workspace.
- Trigger product-qualified leads from feature usage, not form submissions.

Source: Nir Eyal (2014). *Hooked: How to Build Habit-Forming Products.* Portfolio/Penguin.
Source: Wes Bush (2019). *Product-Led Growth: How to Build a Product That Sells Itself.* ProductLed Press.

OKR Alignment Cascades

Are company departments misaligned and pursuing divergent goals that fail to translate executive strategy into measurable outcomes?



SCHEMATIC

2-Tier Objective-Result Network

S41

OKR Alignment Cascades

PRESSURE TEST

1. Are key results task lists, or measurable changes in business performance?
2. Do OKRs drive compensation, pushing teams toward conservative targets?
3. Does leadership set more than three objectives a quarter, diluting focus?

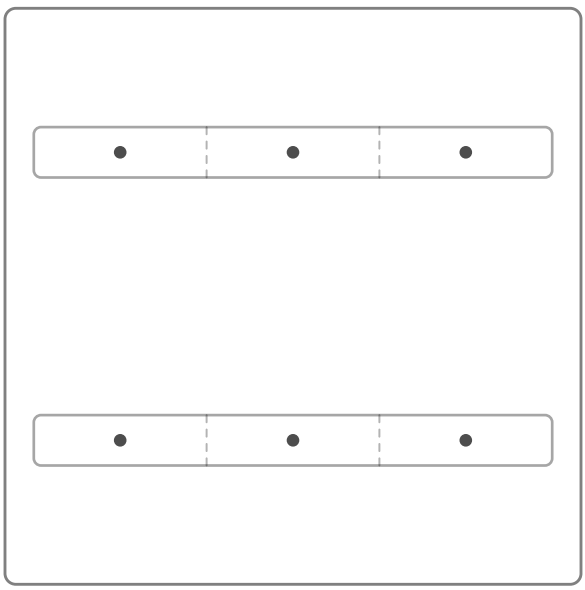
ACTIONS

- Give every key result a baseline, a target and automated tracking.
- Review dependencies across teams so cross-functional priorities align.
- Hold a fifteen-minute weekly check-in on confidence and blockers.

Source: Andrew S. Grove (1983). *High Output Management.* Random House.

Dual Transformation

How can an enterprise modernize mission-critical legacy architectures while simultaneously developing greenfield, disruptive product capabilities?



SCHEMATIC

2-Track Transformation Canvas

S42

Dual Transformation

PRESSURE TEST

1. Are modernization and greenfield run sequentially instead of in parallel?
2. Does the core treat the greenfield venture as a rival, limiting shared assets?
3. Do legacy teams measure technical completion, not delivery speed or agility?

ACTIONS

- Run two parallel tracks: decouple the legacy core; build greenfield capability.
- Use a strangler-fig gateway to retire monolith services call by call.
- Keep strategic goals as version-controlled YAML checked into the repo.

Source: The Open Group (2020). *Open Agile Architecture Standard.* O-AA.
Source: Clark Gilbert, Matthew Eyring & Richard N. Foster (2012). *Two Routes to Resilience.* Harvard Business Review.